Can the Value of an Enterprise Be Altered Through Arbitrary Variations in Capital Structure? To answer this question properly we must scrutinize our examples with greater care. In working out the value of the three companies we assumed that the bonds would be worth par and that the stocks would be worth twelve times their earnings. Are these assumptions tenable? Let us consider first the case of Company *B*. If there are no unfavorable elements in the picture, the bonds might well sell at about 100, since the interest is earned four times. Nor would the presence of this funded debt ordinarily prevent the common stock from selling at 12 times its established earning power.

It will be urged however, that, if Company *B* shares are worth 12 times their earnings, Company *A* shares should be worth more than this multiple because they have no debt ahead of them. The risk is therefore smaller, and they are less vulnerable to the effect of a shrinkage in earnings than is the stock of Company *B*. This is obviously true, and yet it is equally true that Company *B* shares will be more responsive to an *increase* in earnings. The following figures bring this point out clearly:

	Earned per share		Change in earnings per share from base	
Assumed earnings	**Co. *A***	**Co. *B***	**Co. *A***	**Co. *B***
$1,000,000	$10.00	$ 7.60	(Base)	(Base)
750,000	7.50	5.10	−25%	−33%
1,250,000	12.50	10.10	+25%	+33%

Would it not be fair to assume that the greater sensitivity of Company *B* to a possible decline in profits is offset by its greater sensitivity to a possible increase? Furthermore, if the investor expects higher earnings in the future—and presumably he selects his common stocks with this in mind—would he not be justified in selecting the issue that will benefit more from a given degree of improvement? We are thus led back to the original conclusions that Company *B* may be worth $3,000,000, or 25% more than Company *A* due solely to its distribution of capitalization between bonds and stock.

Principle of Optimum Capitalization Structure. Paradoxical as this conclusion may seem, it is supported by the actual behavior of common stocks in the market. If we subject this contradiction to closer analysis, we shall